Matter Giving Rise to Qualified Opinion on the Government-Wide Financial Statements

Management has elected to not follow the requirements of GASB Statement No. 87, Leases. As a result, assets, liabilities, revenues and expenditures related to the Association's lease agreement have been omitted. The amount by which this departure would affect the Statement of Net Position and Statement of Activities has not been determined.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Association's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and Government Auditing Standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgement made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and Government Auditing Standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.

LOUP CENTRAL LANDFILL ASSOCIATION

STATEMENT OF NET POSITION
PROPRIETARY FUND
December 31, 2025

ASSETS

ASSETS	
Current Assets:	
Cash and Cash Equivalents	$ 1,838,249
Accounts Receivable	107,831
Grants Reveivable	412,167
Prepaid Insurance	50,991
Accrued Interest Receivable	1,501
Total Current Assets	$ 2,410,739
Non-Current Assets:	
Restricted Cash	$ 1,639,961
Organizational Costs, Net	21,926
Land	281,598
Capital Assets, Net	5,215,757
Total Non-Current Assets	$ 7,159,242
Total Assets	$ 9,569,981

The Accompanying Notes Are An Integral
Part of These Financial Statements

LOUP CENTRAL LANDFILL ASSOCIATION

STATEMENT OF NET POSITION
PROPRIETARY FUND (Continued)
December 31, 2025

LIABILITIES	
Current Liabilities:	
Accounts Payable	$ 430,168
Customer Deposits	36,026
Accrued Interest Payable	1,002
Payroll Taxes Payable	1,293
Accrued Compensated Absences	43,302
Bonds and Notes Payable, Current Portion	127,005
Total Current Liabilities	$ 638,796
Non-Current Liabilities:	
Accrued Closure/Post-Closure Costs	$ 1,566,161
Bonds and Notes Payable, Long-Term Portion	418,288
Unamortized Bond Discount	(5,928)
Total Non-Current Liabilities	$ 1,978,521
Total Liabilities	$ 2,617,317
NET POSITION	
Net Investment in Capital Assets	$ 4,952,062
Restricted for:	
Closure and Post-Closure Costs	1,639,961
Unrestricted	360,641
Total Net Position	$ 6,952,664

The Accompanying Notes Are An Integral
Part of These Financial Statements

LOUP CENTRAL LANDFILL ASSOCIATION

STATEMENT OF REVENUES, EXPENSES AND CHANGE IN FUND NET POSITION
PROPRIETARY FUND
For the Year Ended December 31, 2025

Operating Revenues:	
Charges for Services	$ 1,381,805
Assessments	15,328
Other Income	23,060
Total Operating Revenue	$ 1,420,193
Operating Expenses:	
Salaries, Wages and Benefits	$ 455,433
Regulatory Costs	77,461
Insurance	57,962
Repairs and Maintenance	66,944
Supplies	84,704
Other Expenses	84,987
Closure and Post-Closure Costs	163,275
Depreciation	400,806
Amortization	1,218
Total Operating Expenses	$ 1,392,790
Operating Income	$ 27,403
Other Non-Operating Revenues (Expenses):	
Grants	$ 2,452,529
Interest Income	121,947
Rent Income	10,565
Interest Expense	(16,834)
Bond Fees	(400)
Total Non-Operating Revenue (Expense)	$ 2,567,807
Change in Net Position	$ 2,595,210
Total Net Position - Beginning	4,357,454
Total Net Position - Ending	$ 6,952,664

The Accompanying Notes Are An Integral
Part of These Statements

LOUP CENTRAL LANDFILL ASSOCIATION

STATEMENT OF CASH FLOWS
PROPRIETARY FUND
For the Year Ended December 31, 2025

Cash Flows From Operating Activities:	
Receipts from customers	$ 1,461,752
Payments to suppliers	18,877
Payments to employees	(445,241)
Net cash provided by operating activities	$ 1,035,388
Cash Flows From Capital and Related Financing Activities:	
Purchase of capital assets	$ (2,890,440)
Grants	2,040,362
Long-term debt payments	(129,889)
Interest paid on long-term debt	(15,664)
Bond fees	(400)
Rent income	10,565
Net cash used in financing activities	$ (985,466)
Cash Flows From Investing Activities:	
Purchases of restricted deposits	$ (106,820)
Interest income	121,897
Net cash provided by investing activities	$ 15,077
Net increase in cash and cash equivalents	$ 64,999
Cash and cash equivalents - beginning of year	1,773,250
Cash and cash equivalents - end of year	$ 1,838,249

The Accompanying Notes Are An Integral
Part of These Financial Statements

LOUP CENTRAL LANDFILL ASSOCIATION

STATEMENT OF CASH FLOWS
PROPRIETARY FUND (Continued)
For the Year Ended December 31, 2025

Reconciliation of operating income to net cash provided by operating activities		
Operating income	$	27,403
Adjustments to reconcile operating income to net cash provided by operating activities:		
Depreciation and amortization		402,024
Change in assets and liabilities		
Accounts receivable		5,533
Customer Deposits		36,026
Prepaid expenses		(11,305)
Accounts payable		402,240
Accrued expenses		173,467
Net cash provided by operating activities	$	1,035,388

The Accompanying Notes Are An Integral
Part of These Financial Statements

LOUP CENTRAL LANDFILL ASSOCIATION
REQUIRED SUPPLEMENTARY INFORMATION
BUDGETARY COMPARISON SCHEDULE - CASH BASIS
PROPRIETARY FUND
For the Year Ended December 31, 2025
(Unaudited)

	Budget Original and Final	Actual Amounts	Variance With Final Budget Positive (Negative)
Fund Balance - Beginning of Year	$ 206,924	$ 1,773,250	$ 1,566,326
REVENUE			
Charges for Services	$ 1,405,000	$ 1,423,364	$ 18,364
Assessments	16,130	15,328	(802)
Interest and Miscellaneous	0	155,522	155,522
Grants	4,575,000	2,040,362	(2,534,638)
Total Receipts	$ 5,996,130	$ 3,634,576	$ (2,361,554)
Total Available Resources	$ 6,203,054	$ 5,407,826	$ (795,228)
EXPENDITURES			
Landfill Operations	$ 1,023,000	$ 802,604	$ 220,396
Debt Service	96,000	145,953	(49,953)
Restricted Cash Deposits	47,000	106,820	(59,820)
Equipment Replacement and Construction	4,575,000	2,514,200	2,060,800
Total Expenditures	$ 5,741,000	$ 3,569,577	$ 2,171,423
Fund Balance - End of Year	$ 462,054	$ 1,838,249	$ 1,376,195

LOUP CENTRAL LANDFILL ASSOCIATION

SCHEDULE OF OPERATING EXPENSES
PROPRIETARY FUND
For the Year Ended December 31, 2025

Advertising	$	4,212
Amortization		1,218
Board Compensation		5,041
Closure and Post-Closure Costs		163,275
Depreciation		400,806
Gas and Oil		74,568
Insurance		57,962
Insurance - Health		80,110
Licenses, Permits and Fees		57,684
Monitoring		19,777
Office Expense		11,143
Payroll Taxes		26,228
Professional Services		51,953
Property Taxes		1,534
Repairs and Maintenance		66,944
Small Equipment, Tools and Supplies		10,136
Telephone and Utilities		6,665
Travel and Training		3,707
Wages		349,095
Water Assessments		732
Total Operating Expenses	$	1,392,790